

SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

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MACRO REGIME: Mixed / Transitional

VIX 16.1 (+0.3 vs 20d) | SPY 20d -0.2% | IWM 20d -4.7% | IWM/SPY trend -4.5%

Leaders: Technology (+4.3%), Healthcare (+0.4%), Comms (-0.2%)

Setup Grades

A - Prime Setup (0)	B - Building (1)	C - Early Stage (0)
	VSXY	

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
B	VSXY	Victorias Secret	Consumer Recovery /	\$7.04B	\$88.29	\$90.41	2.4%	+3.0	YES	no

VSXY

Victorias Secret & Co.

\$88.29

Pivot \$90.41 | 2.4% away

RS vs SPY: +3.0%

B BUILDING

\$7.04B Cap | 71M Float

Specialty Apparel Retail - Intimate & Lifestyle | Theme: Consumer Recovery / Brand Turnaround | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 4.31

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$90.41
% to Pivot	2.4%
Days in Base	9
Tightness	4.31 Fair
52W Hi Prox	86.2%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	1319k <
Wk2	2184k <
Wk3 (oldest)	2774k
Coil Strength	52.5% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+3.0%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$7.04B
Float	71M sh
P/E (TTM)	19.7
Fwd P/E	15.7
Rev Growth	10.4%
Short %	16.4%
Inst. Own	-
Target Pr.	\$91.55

ENTRY TRIGGER
Close above \$90.50 on volume >150% of 20-day average (>2.65M shares)
Target: \$102.50 (measured move to 52W high / prior resistance, +16% from pivot)
Stop: \$84.00 (-7% from entry, below 10-day EMA and recent consolidation low)

CATALYST INTELLIGENCE
EARNINGS
Dec 03 - Street expects ~\$5.62 FY EPS (fwd P/E 15.7x); TTM EPS \$4.48 implies significant Y/Y growth baked in. The 990% earn_growth figure reflects easy comps from trough margins. Last 4Qs showed sequential improvement in both gross margin and comp sales, though beat/miss pattern is inconsistent as turnaround plays through. No investor day scheduled; management historically presents at ICR Conference (January).
BUSINESS & POSITION
Victoria's Secret is the dominant U.S. intimate apparel retailer (~20% category share) executing a multi-year brand repositioning away from its legacy 'Angels' image toward body inclusivity and digital-first commerce. Post-spin from L Brands (2021), the company has rationalized its store footprint, expanded PINK and beauty categories, and driven margin recovery through inventory discipline and reduced promotional intensity.
FACTOR & THEME
Exposed to consumer discretionary recovery and potential 'revenge spending' reversion as inflation moderates; also benefits from nearshoring supply chain trend reducing Asia exposure. Sector sentiment mixed - Consumer Discretionary lagging SPY by -6.5% over 20d - creating macro headwind despite company-specific turnaround.
NEWS FLOW
Limited hard catalysts in the 30-60 day window. No major contract wins or strategic announcements. The stock rallied ~240% off the 52-week low (\$25.92) on sustained turnaround execution and short covering (short interest remains elevated at 16.4%, 4.8 days to cover). Watch for holiday season sell-through commentary - early October brings back-to-school/fall reads that inform Q3 expectations. Catalyst type: Earnings (Low near-term) / Industry reads (Med). No Russell/S&P index action pending.
INSTITUTIONAL
Volume dry-up is textbook (52% week-over-week contraction with price holding near highs) - consistent with quiet institutional accumulation into a tightening range. Institutional ownership data unavailable from this feed (yfinance gap - not a red flag). ZERO insider open-market buys in last 60 days - not unusual for post-spin companies with lockup-related constraints, but absence of insider confirmation at these elevated levels is a neutral-to-mild negative. High short interest (16.4%) creates squeeze potential on any positive surprise, but with 4.8 days-to-cover, this is not an imminent forced-buy situation. No 13D/activist activity detected.
KEY RISK

Thesis invalid on a close below \$75.50 (base low / 200-day MA confluence) OR if holiday comp guidance disappoints at the December print. Key bear case: Consumer Discretionary sector underperformance (-6.5% vs SPY) in a mixed/transitional macro regime historically kills momentum setups regardless of company-specific quality - VSXY's beta of 2.05 amplifies downside in risk-off rotations. Debt/Equity at 275% introduces refinancing risk if rates stay elevated.

Structural quality is mixed: volume dry-up is excellent (52% contraction, textbook stair-step), but base_tight at 4.31 is loose by VCP standards (>2.0 threshold for A-grade), RS line NOT at new high, and days_in_base of only 9 suggests this needs another 1-2 weeks to mature. The alpha angle is a high-short (16.4%) turnaround with improving fundamentals meeting tightening supply - squeeze mechanics are live but not imminent. Strongest disconfirming argument: Consumer Discretionary is the worst-performing sector (-6.5%) in a transitional macro regime where small-caps are underperforming large-caps by 4.5% - momentum setups in lagging sectors have materially lower win rates, and VSXY's 2.05 beta means it amplifies sector weakness. No catalyst for 66 days. Conviction: Medium - setup is building but macro/sector headwinds and loose base structure warrant patience over aggression.

VSXY — 90D Base Setup | Pivot: \$90.41 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)

